

they want it, and at a price they are willing to pay. You can also use CRM software to manage how you communicate with your customers and clients, by automatically emailing personalized invoices, receipts, reminders, and marketing material or promotional offers.

Investing in CRM

You may feel that you want to delay installing a CRM system until your business is established. However, the better you understand your customers or clients, the more competitive your business will be. There are many systems available, including bespoke ones, so look online to find independent advice from a CRM consultant.

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NEED TO KNOW

- › **Contacts** are existing clients or customers who have already purchased a product or service from a business.
- › **CRM technology** captures and analyzes customer data automatically through their transactions.
- › **Data analysis** examines the information gathered to help the business operate more efficiently.
- › **Leads** are potential future customers or clients.
- › **Net promoter score** measures customer or client satisfaction by their willingness to recommend products or services to others.

“There is only one boss. The customer. And he can fire everybody in the company from the chairman on down, simply by spending his money somewhere else.”

Sam Walton, founder of Wal-Mart Stores Inc.

Using customer data

Capturing as much data as possible will give you a broad insight into your customers and clients. You can then organize and analyze this data into useful information to guide future business decisions.

- › **Identify customers' characteristics**, including their buying habits, seasons, and times of purchase, as well as special interests—this can help you target these specific groups.
- › **Highlight patterns and trends**, such as fashions and growing interests, which reveals areas you can tap into and exploit. You can also spot new and growing markets and those in decline.
- › **Analyze marketing responses** to monitor the effectiveness of your campaigns. If customers do not respond, you know you need to try a different approach.
- › **Target customers or clients** who are high spenders with customized marketing.

Using customer insight

A CRM system will reveal how the behavior of customers and clients changes over time. This information can strengthen your business, enabling you to:

- › **Understand your customers'** preferences and expectations, allowing you to meet them now and in the future.
- › **Ensure your marketing** campaigns are targeted and effective.
- › **Compete more successfully** against your rivals, especially those without a CRM system.